

An architectural rendering of a modern multi-story apartment building at night. The building features a mix of dark, solid-colored facades and lighter, vertically-ribbed sections. Numerous windows are illuminated from within, and several balconies with glass railings are visible. In the foreground, there is a dark, low-lying hedge and a paved area with a small car parked on the left. The overall scene is dimly lit, with the primary light source being the building's interior lights.

338 Douglas St.

Executive Summary

338 Douglas: Strategic Echo Park Workforce Housing

Visionary Development Group presents an opportunity to invest in 338 Douglas, a strategically positioned affordable housing development in Echo Park, Los Angeles. This 373-unit community represents a forward-thinking affordable housing asset in one of Los Angeles' most rapidly gentrifying neighborhoods. The project targets workforce families seeking quality housing at 80% AMI levels in Echo Park's coveted location.

Echo Park offers exceptional walkability, direct Metro transit access, and proximity to downtown employment centers optimizing both community impact and financial performance. Visionary's integrated capital approach combines institutional financing with mission-aligned partners, demonstrating how thoughtful affordable housing can enhance neighborhoods while creating compelling investment value.

Investment Highlights

ED1 Accelerated Development Program

Opportunity to develop institutional-quality affordable housing utilizing Mayor Bass's expedited entitlement process at significant cost savings (~\$50K/unit efficiency).

Echo Park Market

Strategically positioned in culturally rich, transit-accessible neighborhood with established community amenities and proximity to downtown employment centers.

Proven Development Economics

Demonstrated ability to deliver affordable housing projects at cost basis with established contractor and nonprofit partnerships.

Sustainable Affordability Model

Ability to provide residents 40-50% savings compared to market-rate alternatives, ensuring long-term cash flow stability through high demand while also providing community relief.



\$42M

Projected Equity Requirement

22.1%

Target Levered IRR

2.15x

Target Levered Equity Multiple

6.8%

Target Yield on Cost

Visionary's concentrated Echo Park development approach creates multiple value drivers through operational scale and market expertise. The investment combines stable affordable housing cash flows with accelerated returns from entitlement value creation, strategic land banking, and portfolio-level efficiencies across management and leasing operations.

Project Highlights 338 Douglas

Boutique Affordable Housing Development

The 373-unit luxury affordable community is being developed as part of Visionary's concentrated Echo Park portfolio, reconfirming the firm's ability to navigate complex entitlement processes while delivering premium residential units in a highly desirable location.

\$119.7M	\$172.2M	5 Year	65%
<i>Total Projected Cost</i>	<i>Projected Exit Value</i>	<i>Projected Hold Period</i>	<i>Target LTC</i>

Project Highlights

ACQUISITION STRATEGY

Off-market acquisition secured through deep local broker networks and community relationships. Strategic site selection prioritizes transit accessibility, walkable amenities, and proximity to major employment hubs to maximize resident quality of life and long-term asset value.

DEVELOPMENT EXECUTION

Integrated project delivery model combining award-winning architecture, experienced construction management, and proven general contracting partners. Streamlined coordination reduces timeline risk while maintaining institutional-grade build quality and design innovation.

FINANCIAL PERFORMANCE

Strong unit economics with compelling return metrics and proven financial model. ED1 incentives create immediate value lift through expedited approvals and density bonuses, while Echo Park's gentrification supports long-term appreciation and stable tenant demand.

LOCAL MARKET

Transit-oriented location with direct Red Line access to downtown LA and established creative economy. Growing professional population and limited affordable housing supply create sustainable demand from essential workers and emerging talent.



Project Thesis

Regulatory Tailwinds

ED1 program eliminates traditional zoning constraints and expedites approvals by 18+ months. First-mover advantage in underutilized regulatory framework with limited developer competition in affordable housing space.

Market Dislocation Opportunity

Echo Park gentrification has priced out workforce residents while creating premium location value. Affordable housing restrictions capture upside while serving displaced community members at sustainable rents.

Scalable Platform Strategy

Concentrated geography enables shared infrastructure, bulk purchasing power, and operational synergies across property management, maintenance, and resident services for enhanced margins.

STRONG RENTAL DEMAND

8%

Market Rent Growth

40-50%

Below Market Pricing

QUALITY ASSETS

373

Total Units

\$321k

Per Unit Development Cost

Irreplaceable Location

Echo Park's transit connectivity and cultural amenities create sustainable tenant demand while gentrification limits future affordable development sites. Regulatory protections lock in below-market rents with built-in appreciation upside.

Submarket Map

Current Projects

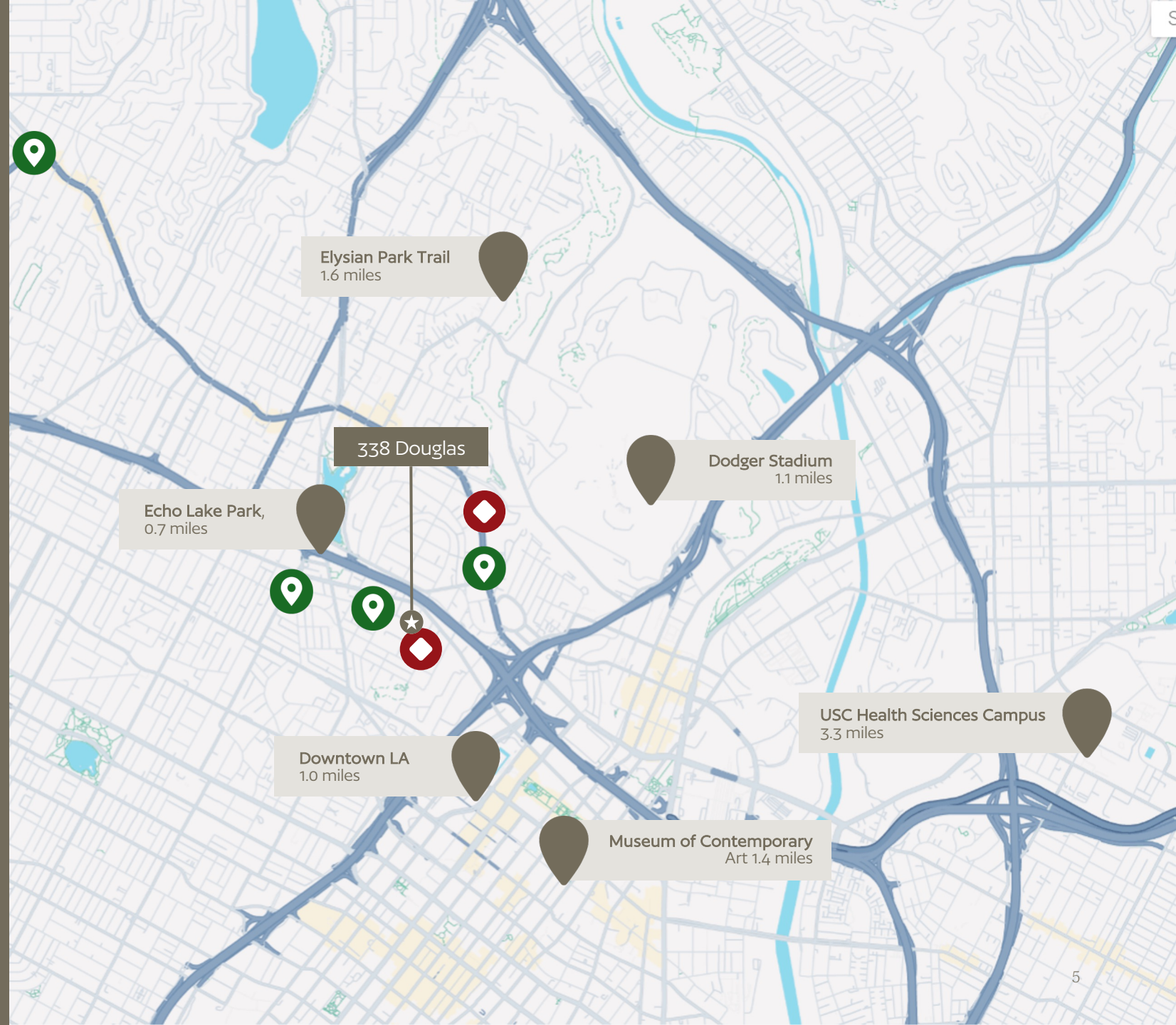
- 1540 W. Court, Echo Park, CA
- 333 Douglas St, Echo Park, CA
- 1230 W. Sunset, Echo Park, CA
- 4537-4545 Santa Monica Blvd, East Hollywood, CA

Pipeline Projects

- 1275 W. Sunset, Echo Park, CA
- 338 Douglas St, Echo Park, CA

Key Geographic Strategy

- Echo Park Core: 4 of 5 major projects clustered within 1-mile radius
- Strategic Proximity: 333 Douglas located directly across from 1540 W. Court
- Submarket Expertise: Concentrated development approach in rapidly gentrifying Echo Park neighborhood
- Transit Access: All Echo Park projects within walking distance of Metro lines and downtown LA employment centers
- Neighborhood Landmarks: Projects positioned near Echo Park Lake, Dodger Stadium, and cultural amenities Portfolio



Project Summary

Rent Roll Summary						
	Unit #	Unit %	Avrg. RSF	Total RSF	\$/Unit	\$/SF
Studio	10	2.7%	365 SF	3,650 SF	\$2,082	\$5.70
1BR	299	80.2%	425 SF	127,075 SF	2,359	5.55
2BR	64	17.2%	550 SF	35,200 SF	2,640	4.80
Total	373	100.0%	445 SF	165,925 SF	\$2,400	\$5.40

Exit Assumptions	
FTM NOI - Tax Adjusted	\$9,039,220
Cap Rate	5.25%
Implied Valuation (Gross)	\$172,175,618
Disposition Fee (4%)	\$6,887,025
Implied Valuation (Net of Disposition Fee)	\$165,288,593

Project Timeline

DATE		DURATION
11/01/2025	Acquisition	
09/30/2026	Construction	24 months
10/31/2026	Lease-Up	24 months
04/30/2028	Stabilization	18 months
09/30/2029	Exit	17 months
		Total Project Duration 60 months

Strategic Partners

Key Project Partners



Boutique construction management firm with 70+ years combined principal experience, delivering over 12,000 multifamily residential units across California's affordable housing market.

Provides comprehensive construction management from inception to lease-up, utilizing historical cost databases and proven scheduling expertise for accelerated project delivery.



Los Angeles-based 501(c)(3) nonprofit established March 2024, specializing in affordable housing partnerships and equitable connections to housing opportunities for low-income families.

Delivers direct pipeline to qualified voucher holders with extensive waiting lists, ensuring rapid lease-up and sustained occupancy for affordable housing projects.



Southern California general contractor with 30+ years experience, completed 6,000+ units in past decade, specializing in affordable housing with zero safety violations.

Offers innovative construction techniques including off-site panelization for affordable housing, reducing overall schedule and providing significant cost savings for owners.



Award-winning national 501(c)(3) nonprofit founded 2012, managing 12,000+ housing units across 6 states through 60+ affordable housing communities nationwide.

Enables 80% property tax reduction through nonprofit Managing General Partner structure while ensuring regulatory compliance and accessing competitive government financing programs.



National multifamily property management leader providing comprehensive asset management services with extensive affordable housing portfolio experience and proven operational excellence.

Provides institutional-quality property management with third-party operational expertise, transparent accounting, and proven asset optimization for sustained portfolio performance.

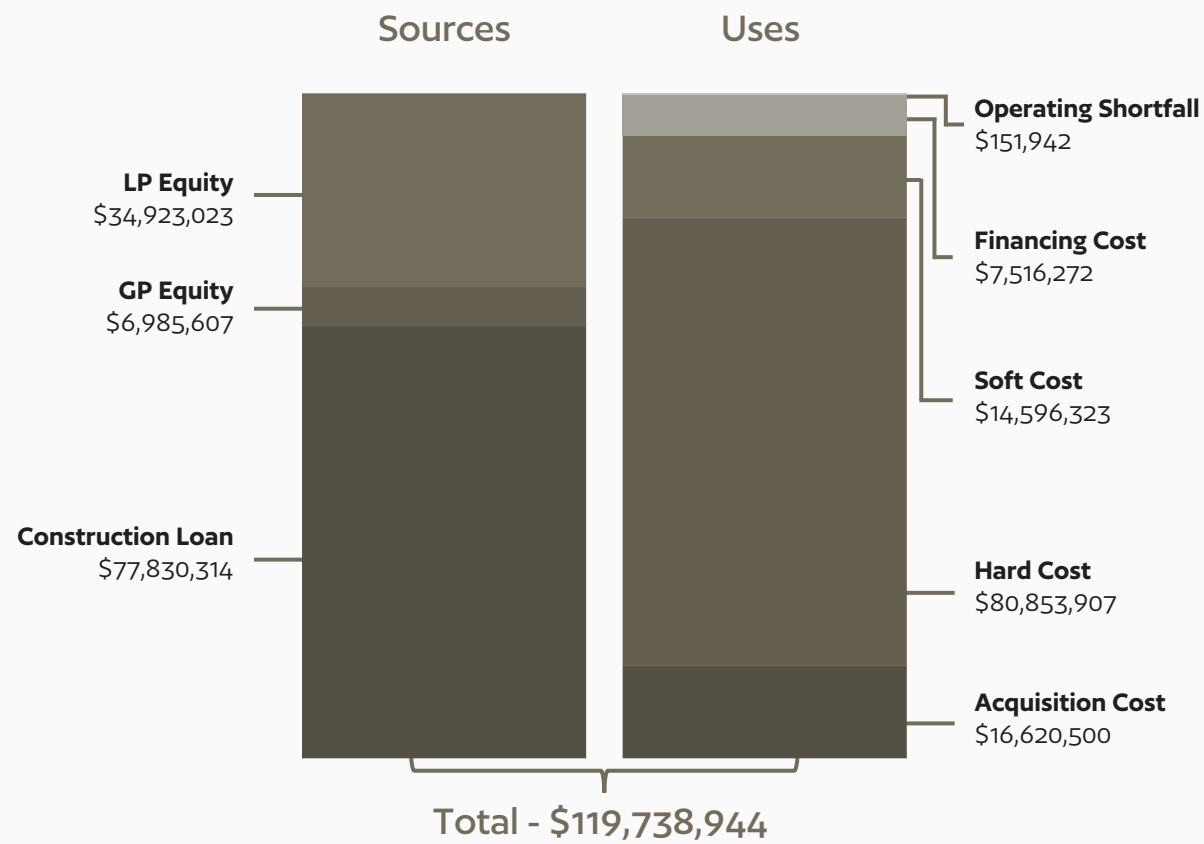


Los Angeles architectural design studio founded by Kevin Tsai, prioritizing design integrity over trends, creating timeless spaces through multidisciplinary collaboration and innovation.

Creates distinctive, forward-thinking affordable housing designs that maximize livability while maintaining aesthetic excellence, enhancing resident experience and community value.

Sources & Uses

Visionary Development Group has structured the 338 Douglas through a dedicated special purpose vehicle (SPV). The investment utilizes Visionary's established equity contribution model, with Limited Partners contributing 83% of required equity and General Partners contributing 17%. This 65% leverage structure positions the asset for strong risk-adjusted returns while maintaining conservative debt levels.



Leasing Assumptions (Multifamily)	
Units	373
Average Rental Rates	\$2,400 /Unit
Average Unit Size	445 SF

Construction Loan Terms	
Target Loan-to-cost	65.0%
Interest Rate	7.10%
Rate Type	Fixed
Origination Fee	1.00%

Return Terms	
Project IRR	22.1%
Project MOIC	2.15x
Preferred Return	9.0%
LP IRR	18.8%
LP MOIC	1.91x

338 Douglas Projected Proforma

Operating Inputs (Untrended Vs. Trended YoC)		
	*Untrended	**Trended
Gross Potential Market Rent	\$10,743,240	\$11,411,962
Loss/Gain to Lease	-	-
Gross Potential Rent	\$10,743,240	\$11,411,962
Rent Adjustments		
Vacancy Loss	(537,162)	(570,598)
Model / Down Unit	-	-
Concessions	-	-
Bad Debt Expense	(214,865)	(228,239)
Net Rental Income	\$ 9,991,213	\$10,613,125
Add: Other Income		
Other Income - RUBS	\$ -	\$ -
Other Income (<i>Vacancy Adjusted</i>)	192,656	216,577
Effective Gross Income	\$10,183,869	\$10,829,702
Controllable Expenses		
Payroll	\$ 605,006	\$ 654,348
Advertising	27,975	30,257
G&A	139,875	151,283
Legal & Professional Fees	-	-
Utilities (Water, Sewer, Electric, Trash)	389,785	421,575
HOM + CFMA	74,600	80,684
Security	-	-
Turnover	124,023	134,137
Contract Services	59,176	64,003
Repair and Maintenance	124,023	134,137
Total Controllable Expenses	\$ 1,544,462	\$ 1,670,424
Uncontrollable Expenses		
Property Tax	\$ -	\$ -
Insurance	223,800	242,052
Management Fee	280,056	297,817
Total Uncontrollable Expenses	\$ 503,856	\$ 539,869
Total Operating Expenses	\$ 2,048,319	\$ 2,210,293
Net Operating Income (Multi Only)	\$ 8,135,551	\$ 8,619,408
<i>% Margin</i>	<i>80%</i>	<i>80%</i>
Add: Retail NOI	-	-
Net Operating Income (Project)	\$ 8,135,551	\$ 8,619,408
<i>Less: Replacement Reserves</i>	<i>93,250</i>	<i>100,855</i>
Net Operating Income (Post Reserves)	\$ 8,042,301	\$ 8,518,553
Untrended / Trended YoC (Before Reserves)	6.79%	7.20%
Untrended / Trended YoC (After Reserves)	6.72%	7.11%

*Untrended is based on average parameters according to financial model

**Trended is at projected stabilization date 04/30/2028

338 Douglas Projected Cashflow

CASH FLOW	Total	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Cash Flow (Residential)							
Gross Potential Market Rent	\$26,542,526	\$-	\$-	\$-	\$4,552,031	\$10,408,618	\$11,581,876
Loss/Gain to Lease	-	-	-	-	-	-	-
Gross Potential Rent	\$26,542,526	\$-	\$ -	\$-	\$4,552,031	\$10,408,618	\$11,581,876
Rent Adjustments							
Vacancy Loss	\$(862,285)	\$-	\$ -	\$-	\$-	\$(283,191)	\$(579,094)
Bad Debt Expense	\$(530,851)	-	-	-	\$(91,041)	\$(208,172)	\$(231,638)
Net Rental Income	\$25,149,391	\$-	\$-	\$-	\$4,460,991	\$9,917,255	\$10,771,145
Other Income	\$512,629	-	-	-	90,936	201,892	219,802
Effective Gross Income	\$25,662,020	\$-	\$ -	\$-	\$4,551,926	\$10,119,147	\$10,990,947
Controllable Expenses							
Total Controllable Expenses	\$4,640,004	\$-	\$-	\$128,809	\$1,210,577	\$1,613,572	\$1,687,046
Uncontrollable Expenses							
Property Tax	\$-	\$-	\$-	\$-	\$-	\$-	\$-
Insurance	\$719,097	-	-	-	\$234,968	\$239,668	\$244,461
Management Fee	\$705,706	-	-	-	\$125,178	\$278,277	\$302,251
Total Uncontrollable Expenses	\$1,424,802	\$-	\$-	\$ -	\$360,146	\$517,944	\$546,712
Total Operating Expenses	\$6,064,807	\$-	\$-	\$128,809	\$1,570,723	\$2,131,516	\$2,233,758
Net Operating Income (Multi)	\$19,597,213	\$-	\$-	\$(128,809)	\$2,981,203	\$7,987,631	\$8,757,189
% Margin	79.3%	-	-	-	65.5%	78.9%	79.7%
Retail NOI							
Net Operating Income (Multi + Retail)	\$19,597,213	\$-	\$-	\$(128,809)	\$2,981,203	\$7,987,631	\$8,757,189
Replacement Reserves	\$(299,624)	-	-	-	\$(97,903)	\$(99,862)	\$(101,859)
Less: Asset Management Fee	\$(1,571,536)	-	-	-	\$(523,845)	\$(523,845)	\$(523,845)
NOI Less Management Fee	\$17,726,053	\$-	\$-	\$(128,809)	\$2,359,454	\$7,363,924	\$8,131,485
Adjusted NOI (Post Reserves)	\$17,726,053	\$-	\$ -	\$(128,809)	\$2,359,454	\$7,363,924	\$8,131,485

338 Douglas Projected Cashflow

RETURNS	Total	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Unlevered Cash Flow							
Acquisition Costs	\$(16,620,500)	\$(10,620,500)	\$(6,000,000)	\$-	\$-	\$-	\$-
Hard Costs	\$(80,853,907)	-	\$(6,219,531)	\$(74,634,375)	-	-	-
Soft Costs	\$(14,596,323)	-	\$(13,765,404)	\$(807,786)	\$(23,133)	-	-
Equity Placement Fee	-	-	-	-	-	-	-
NOI (Net of AM Fee)	\$17,726,053	-	-	\$(128,809)	\$2,359,454	\$7,363,924	\$8,131,485
Reversion (Net)	\$165,288,593	-	-	-	-	-	\$165,288,593
Total Unlevered Cash Flow	\$70,943,916	\$(10,620,500)	\$(25,984,935)	\$(75,570,971)	\$2,336,321	\$7,363,924	\$173,420,078
IRR	14.21%						
MOIC	1.63x						
Peak Equity	\$(112,222,672)						
Profit	\$70,943,916						
Total Levered Cash Flow	\$48,261,639	\$(10,620,500)	\$(27,969,338)	\$(3,318,792)	\$-	\$36,999,259	\$53,171,010
IRR	22.14%						
MOIC	2.15x						
Peak Equity	\$(41,908,630)						
Total Distributions	\$90,170,269						
Profit	\$48,261,639						

Visionary
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Workforce Housing

Los Angeles, CA

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